

27 Financial risk management (continued)

The table below summarises the Group's exposure to foreign exchange risk as well as the foreign exchange rates applied:

	2019 €m	2018 €m	2019 INRm	2018 INRm
Net exposure	468.9	555.7	5,072.4	6,274.5
Foreign exchange rate	1.1825	1.1126	94.4586	88.3432

The approximate impact of a 10 per cent appreciation in foreign exchange rates would be a positive movement of £50.0 million (2018: £63.4 million) to equity attributable to owners of the Group. The approximate impact of a 10 per cent depreciation in foreign exchange rates would be a negative movement of £40.9 million (2018: £51.9 million) to equity attributable to owners of the Group. There is no material income statement impact as these exchange differences are recognised in other comprehensive income.

As part of the strategy to mitigate the Group's exposure to foreign exchange risk, the Group is able to borrow part of its RCF in euros, up to €100 million. The RCF borrowings denominated in euros have been designated as a hedging instrument (net investment hedge) against the Group's net investment in Spain with the hedged risk being the changes in the euro/pounds sterling spot rate that will result in changes in the value of the Group's net investments in Spain. At 31 December 2019, €100 million (2018: €100 million) was drawn in euros.

Liquidity risk

Liquidity risk is managed to enable the Group to meet future payment obligations when financial liabilities fall due. Liquidity analysis is conducted to determine that sufficient headroom is available to meet the Group's operational requirements and committed investments. The Group treasury policy aims to meet this objective by maintaining adequate cash, marketable securities and committed facilities. Undrawn borrowing facilities are detailed in note 23. The Group's policy is to seek to optimise its exposure to liquidity risk by balancing its exposure to interest rate risk and to refinancing risk. In effect the Group seeks to borrow for as long as possible at the lowest acceptable cost.

Group policy is to maintain a weighted average debt maturity of over five years. At 31 December 2019, the maturity profile of Group debt showed an average maturity of five years (2018: six years). The Group regularly reviews the maturity profile of its borrowings and seeks to avoid concentration of maturities through the regular replacement of facilities and by arranging a selection of maturity dates. Refinancing risk may be reduced by doing so prior to the contracted maturity date. The change in valuation of an asset used as security for a debt facility may impact the Group's ability to refinance that debt facility at the same quantum as currently outstanding.

The Group does not use supplier financing arrangements to manage liquidity risk.

The tables below set out the maturity analysis of the Group's financial liabilities based on the undiscounted contractual obligations to make payments of interest and to repay principal. Where interest payment obligations are based on a floating rate, the rates used are those implied by the par yield curve for the relevant currency. Where payment obligations are in foreign currencies, the spot exchange rate at the balance sheet date is used.

	2019			
£m	Within 1 year	1–2 years	2–5 years	Over 5 years
Borrowings (including interest)	(249.5)	(1,091.3)	(2,600.9)	(1,716.1)
Finance lease obligations	(5.3)	(5.3)	(14.3)	(104.8)
Other financial liabilities	(15.4)	–	–	(1.2)
Net derivative payments	(34.3)	(28.8)	(78.4)	(222.9)
	(304.5)	(1,125.4)	(2,693.6)	(2,045.0)

	2018			
£m	Within 1 year	1–2 years	2–5 years	Over 5 years
Borrowings (including interest)	(237.8)	(245.2)	(3,259.1)	(2,408.0)
Finance lease obligations	(4.4)	(4.4)	(13.4)	(104.8)
Other financial liabilities	(6.1)	(1.2)	–	–
Net derivative payments	(37.2)	(33.5)	(74.0)	(248.2)
	(285.5)	(284.3)	(3,346.5)	(2,761.0)